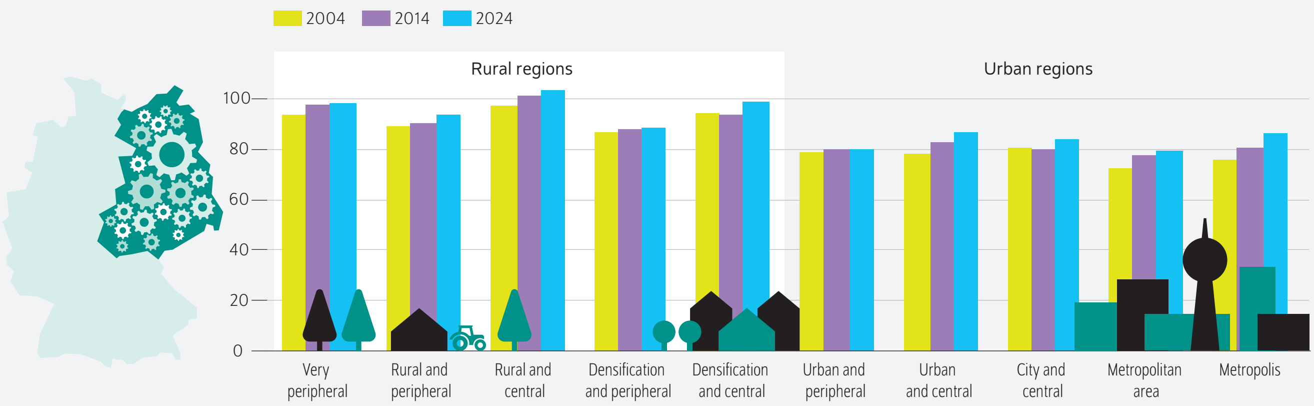
AT A GLANCE

Productivity: East-west gap replaced by urban-rural gap

By Martin Gornig

- Germany seems permanently divided economically; labor productivity in the east and west has barely converged for years
- Gaps are especially large in manufacturing and business services, sectors in which productivity is particularly high in the west
- There is usually little difference when comparing economic situations of cities and districts of the same type, except in the case of major cities
- Economic power becoming increasingly heterogeneous; inequalities between districts in both east and west continue to grow
- Active regional policy that equally supports regions that have fallen behind in the east and west is needed

Productivity gap has nearly disappeared in rural regions
Producitvity in Eastern Germany in percent of national average



Note: Producitvity measured as gross value added in current prices per employed person.
Sources: National Accounts of the Federal States Working group (*Arbeitskreis Volkswirtschaftliche Gesamtrechnungen der Länder*); author's calculations.

FROM THE AUTHORS

"When discussing the economic catching-up process following reunification, the focus is often on the inequality that still exists. Focusing on that, however, overlooks the fact that apart from major cities, there are hardly any differences between cities and districts in the east and their western German counterparts."

— Martin Gornig —